

Outcome of the Pre-Mediation Negotiation Session

Both parties participated in a negotiation session prior to the commencement of mediation. The session focused on clarifying outstanding issues relating to delays, material substitutions, workmanship concerns, additional charges, and payment disputes. The negotiation was constructive, and both parties engaged in good faith. However, several matters remained unresolved, leading to the mutual decision to proceed to mediation.

1. Discussion on Project Delays

The contractor reiterated that delays were caused by material supply disruptions and adverse weather, referencing updates previously communicated to the homeowner. The homeowner acknowledged receiving delay notices but maintained that the timeline impact was excessive and not sufficiently justified. No agreement was reached on compensation for delay-related expenses.

2. Material Substitution Issues

The homeowner expressed concern over non-specified materials being used without prior consent, consistent with earlier email exchanges.

The contractor explained the substitutions were necessary due to supply shortages and emphasised that the alternatives were of comparable quality.

The parties did not reach a consensus on whether the substitutions complied with contractual requirements.

3. Workmanship Concerns

The homeowner raised issues regarding tiling alignment, waterproofing finish, and the need for rectification works, consistent with his claim submissions.

The contractor responded by referencing the independent inspection report that confirmed compliance with industry standards.

The parties maintained differing views, and no agreement was reached on repair responsibility or costs.

4. Additional Charges and Cost Breakdown

The homeowner reaffirmed concerns about unexpected charges—including labour surcharges and cost increases—as raised in earlier WhatsApp and email exchanges.

The contractor stated that additional charges arose mainly from layout changes requested by the homeowner and unforeseen site conditions, and referenced having offered to provide itemised breakdowns.

While both parties recognised the need for a clearer accounting, they did not agree on the validity or amount of the additional charges.

5. Outstanding Payment and Counterclaims

The contractor reiterated the existence of an outstanding balance from the final invoice, as well as further costs related to variations and site disruptions.

The homeowner maintained that withholding payment was justified due to defects, substitutions, and delays.

The parties agreed that this issue could not be resolved without further facilitated discussion.

6. Areas of Partial Progress

During the session, both parties agreed on the following points:

- Both parties recognised the need for clearer communication moving forward.
- Both parties agreed that the dispute resolution clause in the contract requires engagement in mediation.
- Both parties acknowledged that some delay factors (particularly severe weather) were beyond anyone's control, though the extent of their impact is disputed.
- Both parties were open to exploring settlement through structured mediation.

7. Conclusion of the Negotiation Session

The negotiation session improved mutual understanding of the issues but did not result in a settlement.

Both parties agreed that a formal mediation session is necessary to address the unresolved matters, including:

- responsibility for delays and associated costs,
- material and workmanship concerns,
- the legitimacy of additional charges,
- the outstanding payment,
- and any compensation or counterclaims.

Both sides confirmed their readiness to proceed to mediation under the eBRAM Online Mediation framework.